

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 25-03

**Euromarket Designs, Inc., *Complainant* v.
MSC Mediterranean Shipping Company SA, et al., *Respondents***

**RESPONDENT CMA CGM S.A.'S
REPLY IN SUPPORT OF ITS MOTION TO DISMISS**

Respondent CMA CGM S.A. (“Respondent” or CMA”), by counsel, pursuant to 46 C.F.R. 502.69 and 502.70, states as follows for its Reply in Support of its Motion to Dismiss:

SUMMARY

For decades, this Commission has interpreted the Shipping Act consistent with United States Supreme Court precedent so that only entities that purchase services directly from an ocean common carrier—direct purchasers—are eligible to bring claims. This direct purchaser rule is not a mere formality; it serves a vital jurisdictional function, ensuring that only those with a genuine, economically measurable stake may pursue a claim under the Shipping Act. It also serves judicial economy, avoiding the need to litigate downstream mark-ups and third-party contracts to which an ocean common carrier is not even privy.

Here, Complainant Euromarket Designs, Inc. fails to allege that it is a direct purchaser with standing to seek reparations against CMA, relying instead on an assignment and pass-through argument that has been repeatedly rejected by this Commission. Further, Complainant admits it obtained an *invalid* assignment (after the fact) from the actual direct purchaser.

Complainant also attempts to justify the lack of specificity in its Complaint by relying on Commission Rule 62. Yet, Rule 62 requires that a pleading put each respondent on definitive notice

of the specific violations it allegedly committed, 46 C.F.R. § 502.62, and the Complaint lacks any allegations of specific transactions with CMA.

Because Complainant misinterprets the direct purchaser rule and fails to meet the pleading standard of Rule 62, its claims against CMA should be dismissed.

ARGUMENT

I. The direct purchaser rule bars Complainant's claims.

a. Complainant misinterprets the direct purchaser rule.

Complainant's interpretation of the direct purchaser rule undermines the purpose of the rule and cuts against United States Supreme Court precedent. The direct purchaser rule provides that, "parties suing for alleged overcharges can only recover reparations if they ***actually paid the carrier*** or received an assignment from the direct purchaser." *In re Vehicle Carrier Services*, 1 F.M.C.2d 440, 446 (FMC Oct. 21, 2019) (emphasis added); *see also Gov't. of Guam v. Sea-Land Serv., Inc.*, FMC 89-26, 29 S.R.R. 894 (FMC May 22, 2002). This is based on Supreme Court precedent, over a century old, that prohibits any inquiry beyond the first step of a transaction because parties farther along the chain are not in privity with the carrier and have no action against it. *See Southern Pacific Co. v. Darnell Taenzer Lumber Co.*, 245 U.S. 531, 534 (1918) (holding that if a carrier's profit is unlawful, "the only one who can take it from him is the one that ***alone*** was in relation with him, and ***from whom the carrier took the sum***") (emphasis added).

To overcome its indirect status, Complainant relies on a recent Commission decision denying respondent's motion for partial summary judgment on the pleadings based on the direct purchaser rule. *See Visual Comfort & Co. v. COSCO Shipping Lines*, FMC 24-01, 2024 WL 1996206 (FMC Apr. 30, 2024). In *Visual Comfort*, however, the complainant "alleged that it was assessed detention and demurrage charges by [respondent]." Complainant here has not done so, a

distinction that critically undermines its argument. *Id.* In fact, Complainant admits that it was not a direct purchaser in the assignment attached to its Opposition. *See* Memo. in Opp. Ex. A.

Another ALJ issued a similar opinion just recently, but did not consider the Supreme Court precedent holding that indirect purchasers include all parties to a transaction “after the point of payment” to the carrier. *Southern Pacific Co.* 245 U.S. at 534; *see also Impact Products, LLC et. al. v. CMA CGM S.A.*, FMC 24-07, Doc. No. 34 (FMC Feb. 6, 2025).

Complainant also relies on the Commission’s Order in Mediterranean Shipping Company- Investigation For Compliance With §§ 41104(A) and 41102 of Demurrage or Detention Charges, FMA CC-001, Doc. 2, (FMC Sept. 29, 2023) (the “MSC Order”). Complainant points to the MSC Order to argue that when a charge comes from an NVOCC, a VOCC can be ultimately responsible. However, the statute cited in the order merely tasks the Commission to consider “whether another party is ultimately responsible.” 46 U.S.C. §41310(e). Certainly, had the Commission intended to overturn decades of “direct purchaser” rule precedent, it would have said so directly. Nothing in the MSC Order permits the type of pass-through argument that has been repeatedly rejected by the Commission. *See, e.g., Ovchinnikov, et al. v. Hitrinov, et al.*, 2023 WL1963462 at * 12 (FMC Feb. 8, 2023); *see also In Re Vehicle Carrier 1 F.M.C* at 446 (“the Commission has repeatedly found that a complainant *cannot rely on a pass-on theory to recover reparations* for overcharges.”) (emphasis added).

The policy behind the direct purchaser rule is to clarify standing issues for the Commission under the Shipping Act and ensure that the Commission “does not inquire into later events” because “inquiring into further transactions after the point of payment would be legally pointless.” *Southern Pacific Co.* 245 U.S. at 534. This burden is Complainant’s to meet. It must make a showing that it has standing to pursue reparations under the Shipping Act. Instead, Complainant

alleges “[Carmichael] directly purchased services from CMA in connection with [Complainant] cargo carried by CMA, and paid CMA detention and demurrage charges in connection with [Complainant] cargo, which [Complainant] then reimbursed.” *See* Memo. in Opp. p.8. This is the exact type of claim that the Supreme Court has rejected. *Id.*

b. Complainant does not allege that it is a direct purchaser.

Contrary to the Complainant’s Memorandum in Opposition, Complainant also fails to *actually* allege CMA assessed any charge directly to Complainant. Instead, Complainant cites vague allegations applying to all respondents and stating only that charges were assessed by some respondents and paid by Complainant. *See* Memo. in Opp. p.3. In fact, only six paragraphs of the 200-paragraph Complaint refer to CMA and not one alleges a specific charge to Complainant. Even Complainant’s assertion that Paragraphs 152-54 describe communications between Complainant and CMA is incorrect. The correspondence clearly refers to CMA as a third party. *See* Compl. ¶¶ 152-54.

c. Complainant’s invalid Assignment cannot confer direct purchaser status.

Lastly, Complainant attempts to remedy its status as an indirect purchaser by presenting an assignment (the “Assignment”) from an actual direct purchaser, Carmichael International Service. *See* Memo. in Opp., Ex. A. The Assignment is not part of the Complaint and therefore cannot be considered on a motion to dismiss. Nevertheless, to the extent it is considered, the Assignment still cannot save Complainant’s claims because it comes too late.

Standing to sue for damages cannot be retroactively conveyed, as Complainant attempts to do here, after a complaint has been filed. Where a complaint is filed as a suit for damages, standing is determined based on facts existing at the time of filing. *See Lujan v. Defenders of Wildlife*, 504 U.S. 555, 569 n.4 (1992). As the Eleventh Circuit explained, in order for a purported assignee of claims to have standing to sue on those claims, “the assignee must possess the assigned right on

the day it filed the complaint. This requirement cannot be met retroactively. *An assignment of the right to sue is invalid if it was executed after the lawsuit was filed.*” *MSP Recovery Claims v. QBE Holdings*, 965 F.3d 1210, 1213 (11th Cir. 2020) (emphasis added).

Here, Complainant filed its Complaint on December 31, 2024, yet the Assignment is dated February 2025, with no day specified. *See* Memo. in Opp., Ex. A. As a result, Complainant’s Assignment cannot properly convey standing after the fact.¹

II. Rule 62 bars Complainant’s claim because it requires specific allegations of fact.

Complainant also incorrectly argues that a liberal pleading standard permits the lack of specificity in its Complaint. Particularly, Complainant cites Rule 62 of the Commission’s Rules of Practice and Procedure, but falls well short of the standard set forth in 46 C.F.R. § 502.62.

Rule 62, in its current form, requires that a complaint include “[a] clear and concise factual statement *sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law*, and a statement showing that the complainant is entitled to relief.” 46 C.F.R. § 502.62 (emphasis added). Contrary to Complainant’s arguments in its Opposition, the Complaint provides no definitive notice of the specific violations CMA allegedly committed, much less which charges or shipments are being challenged. Such failures render the Complaint insufficient under Rule 62.

The Complaint also fails to allege or even mention Carmichael as a direct purchaser and thus also fails to properly allege a claim for rights allegedly obtained by the Assignment. *See In re*

¹ The Assignment may also be prohibited by anti-assignment language in CMA’s service contract, but the Assignment is void of any specificity regarding which rights were allegedly acquired. This is one of CMA’s many arguments and objections regarding the validity, scope, and effect of the Assignment, which CMA has not fully briefed here because these issues are outside the scope of the instant motion. CMA does not waive, and reserves the right to assert, all arguments and objections regarding the Assignment if evidence of same is admitted.

Vehicle Carrier Services, 1 F.M.C.2d 440, 445 (FMC Oct. 21, 2019). In fact, Complainant fails to allege any facts about Carmichael at all, let alone that it was a direct purchaser from CMA.

Three similar motions for a more definite statement filed in this case highlight that the Complaint lacks the specificity required to alert respondents to the precise shipments or charges in dispute. Instead, it offers broad, conclusory allegations about the shipping industry as a whole that cannot be attributed to any one respondent. As a result, Complainant has failed to meet the pleading standard set forth in Rule 62.

CONCLUSION

For the foregoing reasons, CMA respectfully requests that the Commission grant CMA's Motion to Dismiss the Complaint against CMA with prejudice.

Dated: February 25, 2025

Respectfully submitted,

/s/ K. Barrett Luxhoj

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CERTIFICATE OF SERVICE

I certify that on the 25th day of February 2025, the foregoing document was served by email on all counsel of record as follows:

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